

Local Government and Economic Development: An Empirical Analysis at the District Level in Bangladesh

T. N. Sonia Azad¹

Abstract

The role of local government in fostering economic development at the district level in Bangladesh is critical yet underexplored. This empirical study investigates the mechanisms through which local governments contribute to economic growth and community well-being. Utilizing a mixed-methods approach, the research integrates both quantitative and qualitative data collected from various stakeholders, including local government officials, community leaders, and residents across multiple districts. The study identifies key factors influencing local economic development, such as fiscal health, governance structures, and community participation. Preliminary findings indicate that local governments play a significant role in resource mobilization, service delivery, and infrastructure development essential components for stimulating economic activities. However, challenges such as limited financial resources, bureaucratic inefficiencies, and lack of public trust hinder their effectiveness. By analyzing data through descriptive and analytical methods, this research highlights the current state of local government operations and offers recommendations for enhancing their capacity to drive local economic initiatives. Ultimately, the study seeks to provide insights to inform policy decisions and strengthen the local governance framework in Bangladesh, ensuring that local governments can effectively contribute to sustainable economic development at the district level. The findings will be valuable for policymakers, researchers, and practitioners interested in local governance and economic development strategies in developing contexts.

Keywords: *Coordination, Community Engagement, Economic Development, Local Government, Participation*

¹ Assistant Professor, Department of Public Administration, Bangabandhu Sheikh Mujibur Rahman Science and Technology University, Gopalganj

Introduction

The complex, multidimensional concept of economic development, encompassing improvements in human well-being, has long been managed exclusively by central governments in many developing countries. Decisions in this domain have traditionally been made by central governments and their associated ministries, departments, and agencies with limited involvement from local actors or the communities situated near points of local development action (Edralin 1996). However, the recent involvement of local governments in promoting local economic development has become a major topic of discussion in Bangladesh. Local government institutions, local governments, and community-based organizations have evolved globally as expressions of specific historical conditions and are particularly shaped by time and place. In contemporary time one of the central characteristics of these local organizations and institutions is their developmental role and function. Development initiatives may originate at various levels national, regional, local, or even individual entrepreneurial efforts with the final impact being experienced by individuals and families within a particular region. While GDP, GNP, and GNIs are typically calculated at the national level, local actions also significantly contribute to the growth process (Ahmed 2015).

Definitions of Development

The concept of development varies widely across different contexts. It is often understood as a favorable change or a progression from worse to better (Coetzee and Graaff 1996). Kotze (1997:1) defines it as a positive social, economic, and political transformation within a country or community. It can also be described as a process through which members of a society enhance their potential and institutional capacities to mobilize and manage resources, producing sustainable and equitably distributed improvements in their quality of life, aligned with their own aspirations (Korten and Klaus 1984).

Dimensions of the Concept of Development

Development encompasses various dimensions, including human, economic, political, socio-cultural, and environmental aspects. Burkey supports this view, suggesting that development should be approached on multiple levels, incorporating human, political, social, and economic factors. Human development involves an individual's growth in self-esteem, self-confidence, self-sufficiency, cooperation, and tolerance of others, as they become more aware of their potential for change (Blakely 1994). Social development includes investments and services that benefit society as a whole, such as healthcare, education, water, and energy infrastructure. Economic development is an interdependent factor, essential for providing a strong resource base. It focuses on production, output, and activities tied to commercial or monetary aspects (Dale 2004). This dimension also involves individuals, institutions, and organizations working to support production for both direct consumption and surplus generation for cash. Politically, development relates to the distribution of power among groups or individuals, particularly the power to enable popular participation in governance and decision-making (Conyers and Hills 1990).

Justification for Local Governments' Involvement in Economic Development

The role of local governments in economic development has been debated for many years. Neo-classical theorists argue that governments and their units are often ineffective (Todaro and Smith 2006), suggesting that economic development should be driven by market forces. However, local governments are uniquely positioned to address local development issues, as they are closer to the people and bear the responsibility for local growth. They play an essential role in meeting the social, economic, and material needs of communities by organizing and managing local governance.

As of 2023, approximately 59.5% of Bangladesh's population lives in rural areas, reflecting ongoing urbanization trends but with a majority still in rural settings. These communities fall under the oversight of local administration, with the economy driven by both industrial and agricultural sectors. The agricultural sector, in particular, is managed at the local level by local governments. However, local planning and decision-making often remain centralized, with minimal input from local administrations. Despite their direct relationship with the local population and practical knowledge of local economic needs, local governments face challenges due to insufficient coordination with central government authorities. This lack of coordination hinders effective local economic development.

This research aims to identify the reasons behind the inadequate coordination between central and local governments and proposes policy recommendations to bridge this gap. By minimizing the coordination gap in planning, decision-making, and implementation between central and local governments, the local economy can be better supported and developed.

Objectives

The objective of this research is “To assess the role and effectiveness of local government in promoting and sustaining economic development at the district level in Bangladesh.”

The specific objectives of this research are:

- To support the development of the local economy.
- To identify tools utilized by local governments in promoting local economic development.
- To examine local economic development practices and organizational structures.
- To determine gaps in coordination between the local community and local government.
- To identify and assess the involvement of other actors engaged by local governments in local economic development activities.

- To evaluate both external and internal factors and how they influence the active involvement of local governments in effectively promoting local economic development.
- To propose policies to minimize the coordination gap between local and central governments.

Methodology of the Research

I. Data Collection

This study will rely on secondary data from authoritative sources to understand the role of local government in district-level economic development in Bangladesh. Key sources include:

- **Government Publications:** Reports and publications from the Bangladesh Bureau of Statistics (BBS), Ministry of Local Government reports, and relevant government agencies.
- **International Assessments:** Reports and evaluations from organizations such as the World Bank, United Nations Development Programme (UNDP), and other development partners involved in governance and economic development in Bangladesh.
- **Policy and Development Documents:** Analysis of national and regional policy documents related to local governance and economic development.

II. Literature Review

Conduct a comprehensive review of previous studies on local governance and economic development, with a particular focus on district-level or subnational analyses in Bangladesh and similar contexts. This review will contextualize the role of local government in economic development and identify relevant theoretical frameworks for the study.

III. Data Analysis

- **Content Analysis:** Utilize content analysis to systematically review the secondary data, focusing on identifying and extracting recurring themes. Key themes to be explored may include:
 - **Governance Strategies:** Initiatives and approaches used by local governments to promote economic development.
 - **Coordination Mechanisms:** Collaboration with central government agencies, local businesses, and other stakeholders.
 - **Barriers to Development:** Challenges faced by local governments in implementing economic development initiatives.

- **Synthesis of Findings:** Organize findings to illustrate how local government actions influence economic outcomes at the district level and to identify policy gaps or areas for improvement.

By integrating and analyzing secondary data from multiple credible sources, this methodology aims to provide a detailed and nuanced understanding of the influence of local government on economic development at the district level in Bangladesh, highlighting effective practices and areas for policy enhancement.

Correlation Between Objectives and Findings

1. How Local Governments Can Promote Local Economic Development:

The Trickle-Down Approach focuses on easing burdens on local businesses by reducing taxes and simplifying regulations. The Knowledge Broker Approach emphasizes empowering stakeholders through knowledge sharing, including programs on entrepreneurship and business advisory services. The Opportunity Advisor or Hybrid Approach combines financial and educational tools, such as providing business planning support, grant assistance, and strategic economic projects (Three-approaches-local-economic-development 2023).

A comprehensive local economic development (LED) strategy should involve several key steps:

- Identifying and convening relevant LED stakeholders, including diverse public and private actors, to collaborate and coordinate.
- Conducting a thorough mapping and analysis of the local economy to establish an evidence base (The Hague Academy for Local Governance 2024).
- Formulating an LED strategy with a shared vision and concrete, inclusive interventions.
- Effectively implementing the strategy by mobilizing resources, creating partnerships, and ensuring project management.
- Continuously monitoring progress and assessing impact to identify opportunities for improvement (The Hague Academy for Local Governance 2024).

Findings also emphasize the importance of local governments having the appropriate tools and knowledge to support the local economy, often a weak link in LED efforts. Conducting studies to understand the local economic potential, strengths, weaknesses, and sectoral contributions can help local governments design more effective LED strategies (UNCDF 2024). Thus, local governments can leverage a range of approaches and tools to foster local economic development, from reducing business burdens to empowering stakeholders through knowledge sharing and strategic interventions. A comprehensive, evidence-based, and inclusive LED strategy is essential.

2. Examining the Role of Local Government in LED in a District of Bangladesh:

Key ways to examine this role include:

Identifying and Engaging Relevant Stakeholders:

- Convene a diverse group of public, private, and civil society stakeholders involved in LED to understand their roles, interests, and collaborative potential.
- Analyze how the local government coordinates and partners with these stakeholders in LED initiatives (Swisscontact 2024).

Assess the Local Economic Context

- Conduct a comprehensive mapping and analysis of the local economy to understand its strengths, weaknesses, opportunities, and challenges.
- Examine how the local government utilizes this evidence base to inform its LED strategy and interventions (DDLGN 2018)

Evaluate the Local Government's LED Approach

- Determine whether the local government adopts a “trickle-down” approach focused on reducing business burdens, a “knowledge broker” approach that empowers stakeholders, or a hybrid “opportunity advisor” approach.
- Assess the specific tools, programs, and policies the local government utilizes to promote LED, such as entrepreneurship support, business advisory services, strategic economic projects, and more (Municipal Association of Bangladesh - MAB 2024).

Examine the Organizational Capacity

- Assess the local government’s organizational structure, resources, and capabilities dedicated to LED activities.
- Evaluate how the local government develops the digital and technical skills of municipal staff to effectively implement LED initiatives.

Measure the Impact and Outcomes

- Assess the local economic outcomes and development impacts achieved through the local government's LED efforts.
- Identify opportunities to enhance the local government's LED strategy, coordination, and implementation for greater effectiveness. By taking this multi-faceted approach, the research aims to provide a comprehensive understanding of the role of local government in driving local economic development at the district level (DDLGN 2018).

3. Factors Contributing to the Coordination Gap Between Local Communities and Local Governments

Based on empirical research, the following key factors contribute to the coordination gap between local communities and local governments:

Lack of Formal Coordination Mechanisms

There is often a lack of established platforms and channels for regular communication and collaboration between local governments and community stakeholders (Monmouthshire County Council, n.d.). This includes limited involvement of the community in local government decision-making processes and insufficient mechanisms for the community to provide feedback (Camp Management Toolkit.org, 2015).

Resource and Capacity Constraints

Local governments may face resource and staffing limitations that hinder their ability to engage meaningfully with the local community on economic development initiatives. Research suggests that local governments often lack the organizational capacity, skills, and dedicated personnel needed to coordinate effectively with the community (Panday, 2014).

Weak Community Engagement

The local community may be unwilling or lack the capacity to engage with the local government due to factors such as past negative experiences or limited awareness of opportunities for involvement. This can perpetuate the coordination gap and make it challenging for the local government to build productive partnerships (Panday, 2014).

Lack of Intermediaries

Previous studies suggest that the absence of civil society organizations or other intermediaries, which can facilitate coordination between the local government and the community, is a contributing factor. These intermediaries play a crucial role in bridging the gap and enabling more collaborative local economic development efforts (Camp Management Toolkit.org, 2015).

In summary, the key factors contributing to the coordination gap include the lack of formal coordination mechanisms, resource and capacity constraints within local governments, misalignment of priorities, weak community engagement, and the absence of effective intermediaries. These factors all contribute to the coordination gap between local communities and local governments.

4. Strategies for the Involvement of Other Actors by the Local Government in Its Local Economic Development Activities

The following are some effective strategies for involving other actors in local economic development (LED) activities by the local government:

Assess the Stakeholder Engagement Process

- To examine how the local government identifies, convenes, and engages with relevant stakeholders from the private sector, civil society, and other government agencies in its LED initiatives.

- To evaluate the inclusiveness and representativeness of the stakeholder engagement process, ensuring it involves a diverse range of actors.

Analyze the Roles and Contributions of Different Actors

To identify the specific roles and contributions of different stakeholders in the LED process, such as:

- **Private sector:** Providing inputs, investments, and partnerships
- **Civil society:** Representing community interests and providing oversight
- **Other government agencies:** Aligning policies, providing resources, and enabling coordination

Examine Collaboration Mechanisms and Platforms

Identify the formal and informal mechanisms and platforms the local government uses to facilitate collaboration with other stakeholders, such as:

- Coordination committees or task forces
- Public-private dialogue forums
- Joint planning and implementation processes
- Evaluate the effectiveness of these mechanisms in enabling joint action and shared ownership of LED initiatives.

To Assess the Capacity and Resources Mobilized

Analyze the capacity and resources that different stakeholders contribute to the LED process, such as:

- Technical expertise and knowledge
- Financial resources and investments
- Advocacy and networking power
- Evaluate how the local government mobilizes and coordinates these diverse resources for effective LED implementation.

Understand Stakeholder Incentives and Motivations

- Identify the key incentives and motivations driving the involvement of different stakeholders in the LED process.
- Assess how the local government aligns these diverse interests and ensures mutual benefits to sustain stakeholder engagement.

By adopting this multi-faceted approach, the research can provide a comprehensive understanding of how the local government involves and coordinates with other key actors in its LED activities and identify opportunities to strengthen these collaborative efforts for more effective local economic development.

5. External and Internal Factors that Most Significantly Influence the Active Involvement of Local Government in Effectively Promoting Local Economic Development: The Following Approaches Can Be Considered

Analyze External Factors

Examine the broader economic, political, social, and environmental context at the regional, national, and global levels that may impact the local economy.

Identify external opportunities and threats, such as:

- Policies, regulations, and support programs from higher levels of government
- Trends in key industries, markets, and trade
- Demographic shifts and migration patterns
- Environmental challenges and climate change impacts Assess how these external factors enable or constrain the local government's ability to effectively promote local economic development.

Assess Internal Organizational Factors

- Evaluate the local government's institutional capacity, resources, and governance structures dedicated to local economic development activities.
- Analyze the skills, knowledge, and technical expertise of municipal staff involved in LED initiatives.
- Examine the local government's internal decision-making processes, coordination mechanisms, and budgetary allocations for LED.
- Identify any internal organizational barriers, such as siloed departments, lack of political will, or resource constraints.

Understand the Local Economic Context

- Conduct a comprehensive assessment of the local economy, including its key sectors, business landscape, workforce characteristics, and development trends.
- Identify the local economy's strengths, weaknesses, opportunities, and challenges through data analysis and stakeholder consultations.
- Assess how the local economic context shapes the local government's LED priorities and interventions.

Examine Stakeholder Engagement

- To evaluate the local government's mechanisms for engaging and coordinating with key stakeholders, such as the private sector, civil society, and other government agencies.
- To analyse the level of trust, alignment of interests, and quality of collaboration between the local government and other LED actors.

- To identify any gaps or barriers in stakeholder engagement that limit the local government's ability to effectively promote local economic development.

Assessment of the LED Approach and Outcomes

- Examine the local government's LED strategy, policies, and programs, and how they address the identified internal and external factors.
- Evaluate the tangible economic development outcomes and impacts achieved through the local government's LED efforts.
- Identify opportunities to strengthen the local government's LED approach based on the analysis of internal and external influencing factors.

By adopting this multi-faceted approach, the research can provide a comprehensive understanding of how the interplay of external and internal factors shapes the local government's role and effectiveness in promoting local economic development in the district.

Recommendations

The policy to minimize the gap of coordination between local government and central government as following

Establish Clear Roles and Responsibilities

Define the roles and responsibilities of both central and local governments in LED initiatives to ensure a clear understanding of their respective mandates and areas of focus.

Enhance Inter-Departmental Coordination

Implement mechanisms for regular inter-departmental coordination and communication within both central and local government structures. Establish formal committees or task forces that bring together representatives from different departments to facilitate joint planning and decision-making.

Strengthen Local Government Capacity

Provide training and capacity-building programs for local government officials to enhance their skills and knowledge in LED strategies and implementation. Support the development of local government institutions to ensure they have the necessary resources and capabilities to effectively participate in LED initiatives.

Develop a Territorial Approach

Adopt a territorial approach to LED, focusing on specific geographic areas within the district to ensure that local needs and contexts are addressed. It can help in integrating local economic development with broader regional and national policies, promoting a more cohesive and coordinated effort.

Incorporate Stakeholder Engagement

Involve local stakeholders, including community groups, businesses, and civil society organizations, in the LED process to ensure their needs and concerns are addressed. Establish platforms for regular dialogue and feedback mechanisms to ensure that the local government is responsive to the needs of the community.

Improve Monitoring and Evaluation

Develop a comprehensive monitoring and evaluation framework to track the progress and outcomes of LED initiatives. Regularly assess the effectiveness of policies and programs to identify areas for improvement and make necessary adjustments.

Foster a Culture of Collaboration

Encourage a culture of collaboration and cooperation between central and local government officials, as well as between different departments and stakeholders. Promote a shared vision and commitment to LED, emphasizing the importance of collective action and mutual support.

Address Resource Constraints

Address resource constraints by allocating sufficient funds and personnel to support LED initiatives at both the central and local levels. Ensure that resources are allocated in a way that supports the implementation of LED strategies and programs.

Develop a National-Local Planning System

Establish a national-local planning system that integrates LED objectives with broader national development goals. Ensure that local plans are aligned with national priorities and that there is a clear mechanism for vertical coordination and feedback.

Regular Review and Feedback

Conduct regular reviews and assessments of the coordination between central and local governments to identify areas for improvement. Establish mechanisms for feedback and suggestions from both levels of government to ensure that policies and programs are responsive to changing needs and circumstances. By implementing these policies, the coordination gap between central and local governments can be minimized, leading to more effective and inclusive local economic development in the district.

Conclusion

The study highlights the essential role of local governments in Bangladesh in fostering local economic development (LED), while also identifying several challenges they face. Key findings indicate that local governments employ various strategies, such as reducing business burdens and empowering stakeholders, but often lack the necessary tools and expertise to effectively support the economy. Coordination with other stakeholders, including the central government and civil society, is vital but frequently

inadequate due to unclear roles, resource limitations, and misaligned priorities. The local economic context and internal capacities significantly influence the success of LED efforts. To improve their effectiveness, the study recommends local governments adopt a participatory and evidence-based approach, which includes engaging diverse stakeholders, conducting economic assessments, and monitoring progress. Specific suggestions include clarifying roles across government levels, enhancing local government capacity through training, fostering collaboration among stakeholders, aligning local strategies with broader development goals, and regularly assessing economic conditions to inform decision-making. By addressing these gaps, local governments can better promote inclusive and sustainable economic development in their districts.

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